



General Assembly

February Session, 2026

Raised Bill No. 5571

LCO No. 3475



Referred to Committee on FINANCE, REVENUE AND BONDING

Introduced by:
(FIN)

AN ACT ESTABLISHING A TAX CREDIT FOR QUALIFIED OPERATORS AND A WORKING GROUP TO EXAMINE MARKET-BASED SOURCING FOR CERTAIN INVESTMENT ASSETS INCOME AND CONCERNING THE ANGEL INVESTOR TAX CREDIT AND THE DEFINITIONS FOR CERTAIN TAX CREDITS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. (NEW) (*Effective from passage and applicable to income and*
2 *taxable years commencing on or after January 1, 2026*) (a) As used in this
3 section, "qualified operator" means a party to a facility management
4 agreement with the Capital Region Development Authority established
5 pursuant to section 32-601 of the general statutes to operate the civic
6 center and coliseum complex in the city of Hartford known as
7 PeoplesBank Arena in Hartford and "qualified agreement" means an
8 agreement between a qualified operator and a state agency, as defined
9 in section 4-37e of the general statutes, in which the state agency
10 commits to schedule and host a minimum of fifteen events annually at
11 the PeoplesBank Arena for a term of not less than fifteen years and the
12 qualified operator agrees to operate and promote each such event at the
13 facility during the term of the agreement.

14 (b) For income and taxable years commencing on or after January 1,
15 2026, there shall be allowed a credit against the tax imposed by chapter
16 208, 228z or 229 of the general statutes, other than the liability imposed
17 by section 12-707 of the general statutes, for any income or taxable year
18 in which the qualified operator is a party to a qualified agreement on
19 the last day of the income or taxable year. The amount of the credit shall
20 not exceed five million dollars for any income or taxable year. The
21 aggregate amount of the credits allowed under this section shall not
22 exceed ten million years.

23 (c) Any qualified operator that is subject to a tax imposed under
24 chapter 208, 228z or 229 of the general statutes may apply to the
25 Department of Revenue Services, in such form and manner as
26 prescribed by the Commissioner of Revenue Services, to reserve an
27 allocation for a credit under this section. The application shall contain
28 such information as the commissioner deems necessary to verify a
29 qualified operator's eligibility for the credit under this section. If the
30 commissioner approves such application, the commissioner shall
31 provide a voucher to the qualified operator for the amount allocated.

32 (d) If the amount of the credit allowed pursuant to this section
33 exceeds the taxpayer's liability for the tax imposed under chapter 208,
34 228z or 229 of the general statutes, the Commissioner of Revenue
35 Services shall treat such excess as an overpayment and, except as
36 provided in section 12-739 or 12-742 of the general statutes, shall refund
37 the amount of such excess, without interest, to such taxpayer.

38 (e) If the taxpayer is an S corporation or an entity treated as a
39 partnership for federal income tax purposes, the credit may be claimed
40 by the taxpayer's shareholders or partners. If such taxpayer is a single
41 member limited liability company that is disregarded as an entity
42 separate from its owner, the credit may be claimed by such limited
43 liability company's owner, provided such owner is subject to the tax
44 imposed under chapter 208, 228z or 229 of the general statutes.

45 Sec. 2. (*Effective from passage*) (a) There is established a working group
46 to examine the issue of the state's application of market-based sourcing
47 to income from investment assets for financial institutions as it relates
48 to modern sourcing policy, economic competitiveness, supporting in-
49 state jobs and ensuring equitable treatment of the tax base and in-state
50 services.

51 (b) The working group shall consist of the following members or their
52 designees:

53 (1) The chairpersons of the joint standing committees of the General
54 Assembly having cognizance of matters relating to finance, revenue and
55 bonding and banking;

56 (2) The Commissioner of Revenue Services and the Banking
57 Commissioner; and

58 (3) The Secretary of the Office of Policy and Management.

59 (c) The working group may consult with any individuals or entities
60 relevant to or informative for the examination.

61 (d) The chairpersons of the joint standing committee of the General
62 Assembly having cognizance of matters relating to finance, revenue and
63 bonding shall serve as chairpersons of the working group and shall
64 schedule the first meeting of the working group, which shall be held not
65 later than sixty days after the effective date of this section.

66 (e) The administrative staff of the joint standing committee of the
67 General Assembly having cognizance of matters relating to finance,
68 revenue and bonding shall serve as administrative staff of the working
69 group.

70 (f) Not later than January 1, 2027, the working group shall submit a
71 report on its findings and recommendations to the joint standing
72 committees of the General Assembly having cognizance of matters
73 relating to finance, revenue and bonding and banking, in accordance

74 with the provisions of section 11-4a of the general statutes. The working
75 group shall terminate on the date that it submits such report or January
76 1, 2027, whichever is later.

77 Sec. 3. Section 12-704d of the general statutes is repealed and the
78 following is substituted in lieu thereof (*Effective July 1, 2026*):

79 (a) As used in this section:

80 (1) "Angel investor" means an accredited investor, as defined by the
81 Securities and Exchange Commission, or network of accredited
82 investors who review new or proposed businesses for potential
83 investment and who may seek active involvement, such as consulting
84 and mentoring, in a qualified Connecticut business or a qualified
85 cannabis business, but "angel investor" does not include (A) a person
86 controlling fifty per cent or more of the Connecticut business or cannabis
87 business invested in by the angel investor, (B) a venture capital
88 company, or (C) any bank, bank and trust company, insurance
89 company, trust company, national bank, savings association or building
90 and loan association for activities that are a part of its normal course of
91 business;

92 (2) "Cash investment" means the contribution of cash, at a risk of loss,
93 to a qualified Connecticut business or a qualified cannabis business in
94 exchange for qualified securities;

95 (3) "Connecticut business" means any business, other than a cannabis
96 business, with its principal place of business in Connecticut;

97 (4) "Related person" has the same meaning as provided in section 12-
98 217w;

99 (5) "Control" has the same meaning as provided in section 12-217w;

100 [(4)] (6) "Bioscience" means manufacturing pharmaceuticals,
101 medicines, medical equipment or medical devices and analytical
102 laboratory instruments, operating medical or diagnostic testing

103 laboratories, or conducting pure research and development in life
104 sciences;

105 [(5)] (7) "Advanced materials" means developing, formulating or
106 manufacturing advanced alloys, coatings, lubricants, refrigerants,
107 surfactants, emulsifiers or substrates;

108 [(6)] (8) "Photonics" means generation, emission, transmission,
109 modulation, signal processing, switching, amplification, detection and
110 sensing of light from ultraviolet to infrared and the manufacture,
111 research or development of opto-electronic devices, including, but not
112 limited to, lasers, masers, fiber optic devices, quantum devices,
113 holographic devices and related technologies;

114 [(7)] (9) "Information technology" means software publishing, motion
115 picture and video production, teleproduction and postproduction
116 services, telecommunications, data processing, hosting and related
117 services, custom computer programming services, computer system
118 design, computer facilities management services, other computer
119 related services and computer training;

120 [(8)] (10) "Clean technology" means the production, manufacture,
121 design, research or development of clean energy, green buildings, smart
122 grid, high-efficiency transportation vehicles and alternative fuels,
123 environmental products, environmental remediation and pollution
124 prevention;

125 [(9)] (11) "Qualified securities" means any form of equity, including a
126 general or limited partnership interest, common stock, preferred stock,
127 with or without voting rights, without regard to seniority position that
128 must be convertible into common stock;

129 [(10)] (12) "Emerging technology business" means any business that
130 is engaged in bioscience, advanced materials, photonics, information
131 technology, clean technology or any other emerging technology as
132 determined by the Commissioner of Economic and Community

133 Development;

134 ~~[(11)]~~ ~~(13)~~ "Cannabis business" means a cannabis establishment (A)
135 for which a social equity applicant has been granted a provisional
136 license or a license, (B) in which a social equity applicant or social equity
137 applicants have an ownership interest of at least sixty-five per cent, and
138 (C) such social equity applicant or social equity applicants have control
139 of such establishment;

140 ~~[(12)]~~ ~~(14)~~ "Social equity applicant" has the same meaning as provided
141 in section 21a-420;

142 ~~[(13)]~~ ~~(15)~~ "Cannabis" has the same meaning as provided in section
143 21a-420; and

144 ~~[(14)]~~ ~~(16)~~ "Cannabis establishment" has the same meaning as
145 provided in section 21a-420.

146 (b) There shall be allowed a credit against the tax imposed under this
147 chapter, other than the liability imposed by section 12-707, for a cash
148 investment by an angel investor of not less than twenty-five thousand
149 dollars in the qualified securities of a Connecticut business or a cannabis
150 business. The credit shall be in an amount equal to (1) twenty-five per
151 cent of such investor's cash investment in a Connecticut business, or (2)
152 forty per cent of such investor's cash investment in a cannabis business,
153 provided the total tax credits allowed to any angel investor shall not
154 exceed five hundred thousand dollars. The credit shall be claimed in the
155 taxable year in which such cash investment is made by the angel
156 investor. The credit may be sold, assigned or otherwise transferred, in
157 whole or in part.

158 (c) To qualify for a tax credit pursuant to this section, a cash
159 investment shall be in:

160 (1) A Connecticut business that (A) has been approved as a qualified
161 Connecticut business pursuant to subsection (d) of this section; (B) had

162 annual gross revenues of less than one million dollars in the most recent
163 income year of such business; (C) has fewer than twenty-five employees,
164 not less than [seventy-five] fifty per cent of whom reside in this state;
165 (D) has been operating in this state for less than seven consecutive years;
166 (E) is primarily owned by the management of the business and their
167 families; and (F) received less than two million dollars in cash
168 investments eligible for the tax credits provided by this section; or

169 (2) A cannabis business that (A) has been approved as a qualified
170 cannabis business pursuant to subsection (d) of this section; (B) had
171 annual gross revenues of less than one million dollars in the most recent
172 income year of such business; (C) has fewer than twenty-five employees,
173 not less than seventy-five per cent of whom reside in this state; (D) is
174 primarily owned by the management of the business and their families;
175 and (E) received less than two million dollars in cash investments
176 eligible for the tax credits provided by this section.

177 (d) (1) A Connecticut business or a cannabis business may apply to
178 Connecticut Innovations, Incorporated, for approval as a Connecticut
179 business or cannabis business, as applicable, qualified to receive cash
180 investments eligible for a tax credit pursuant to this section, provided
181 on and after July 1, 2026, any application from a Connecticut business
182 and related persons thereto shall be considered a single Connecticut
183 business for purposes of this section. The application shall include (A)
184 the name of the business and a copy of the organizational documents of
185 such business, (B) a business plan, including a description of the
186 business and the management, product, market and financial plan of the
187 business, (C) a description of the business's innovative technology,
188 product or service, (D) a statement of the potential economic impact of
189 the business, including the number, location and types of jobs expected
190 to be created, (E) a description of the qualified securities to be issued
191 and the amount of cash investment sought by the business, (F) a
192 statement of the amount, timing and projected use of the proceeds to be
193 raised from the proposed sale of qualified securities, and (G) such other
194 information as the chief executive officer of Connecticut Innovations,

195 Incorporated, may require.

196 (2) Said chief executive officer shall, on a monthly basis, compile a list
197 of approved applications, categorized by the cash investments being
198 sought by the qualified Connecticut business or the qualified cannabis
199 business and type of qualified securities offered.

200 (e) (1) Any angel investor that intends to make a cash investment in
201 a business on such list may apply to Connecticut Innovations,
202 Incorporated, to reserve a tax credit in the amount indicated by such
203 investor. Connecticut Innovations, Incorporated, shall not reserve tax
204 credits under this section for any investments made in a qualified
205 Connecticut business on or after July 1, 2028, or for any investments
206 made in a qualified cannabis business on or after July 1, 2023.

207 (2) The aggregate amount of all tax credits under this section that may
208 be reserved by Connecticut Innovations, Incorporated, shall not exceed
209 (A) for cash investments made in qualified Connecticut businesses, six
210 million dollars annually for the fiscal years commencing July 1, 2010, to
211 July 1, 2012, inclusive, and five million dollars for each fiscal year
212 thereafter, and (B) for cash investments made in qualified cannabis
213 businesses, fifteen million dollars annually for the fiscal years
214 commencing July 1, 2021, and July 1, 2022.

215 (3) With respect to the tax credits available under this section for
216 investments in qualified Connecticut businesses, Connecticut
217 Innovations, Incorporated, shall not reserve more than seventy-five per
218 cent of such tax credits for investments in emerging technology
219 businesses, except if any such credits remain available for reservation
220 after April first in any fiscal year, such remaining credits may be
221 reserved for investments in such businesses and may be prioritized for
222 veteran-owned, women-owned or minority-owned businesses and
223 businesses owned by individuals with disabilities.

224 (4) The amount of the credit allowed to any investor pursuant to this
225 section shall not exceed the amount of tax due from such investor under

226 this chapter, other than section 12-707, with respect to such taxable year.
227 Any tax credit that is claimed by the angel investor but not applied
228 against the tax due under this chapter, other than the liability imposed
229 under section 12-707, may be carried forward for the five immediately
230 succeeding taxable years until the full credit has been applied.

231 (f) If the angel investor is an S corporation or an entity treated as a
232 partnership for federal income tax purposes, the tax credit may be
233 claimed by the shareholders or partners of the angel investor. If the
234 angel investor is a single member limited liability company that is
235 disregarded as an entity separate from its owner, the tax credit may be
236 claimed by such limited liability company's owner, provided such
237 owner is a person subject to the tax imposed under this chapter.

238 (g) A review of the cumulative effectiveness of the credit under this
239 section shall be conducted by Connecticut Innovations, Incorporated, by
240 July first annually. Such review shall include, but need not be limited to,
241 the number and type of Connecticut businesses and cannabis businesses
242 that received angel investments, the number of angel investors and the
243 aggregate amount of cash investments, the current status of each
244 Connecticut business and cannabis business that received angel
245 investments, the number of employees employed in each year following
246 the year in which such Connecticut business or cannabis business
247 received the angel investment and the economic impact in the state of
248 the Connecticut business or cannabis business that received the angel
249 investment. Such review shall be submitted to the Office of Policy and
250 Management and to the joint standing committee of the General
251 Assembly having cognizance of matters relating to commerce, in
252 accordance with the provisions of section 11-4a.

253 Sec. 4. Subdivision (1) of subsection (a) of section 12-217j of the 2026
254 supplement to the general statutes is repealed and the following is
255 substituted in lieu thereof (*Effective October 1, 2026*):

256 (a) (1) There shall be allowed as a credit against the tax imposed on

257 any taxpayer under this chapter, with respect to income years of such
258 taxpayer commencing on or after January 1, 1994, an amount equal to
259 twenty per cent of the amount spent by such taxpayer directly on
260 research and experimental expenditures, as defined in [Section 174 of
261 the Internal Revenue Code of 1986, or any subsequent corresponding
262 internal revenue code of the United States, as from time to time
263 amended, which] section 12-217n, that are conducted in this state and
264 [which] that exceeds the amount spent by such taxpayer during the
265 preceding income year of such taxpayer for such expenditures.

266 Sec. 5. Subsection (a) of section 12-217vv of the 2026 supplement to
267 the general statutes is repealed and the following is substituted in lieu
268 thereof (*Effective from passage and applicable to income and taxable years*
269 *commencing on or after January 1, 2026*):

270 (a) As used in this section:

271 (1) "Eligible farmer" means a taxpayer in this state whose federal
272 gross income from farming for the income or taxable year is (A) at least
273 two-thirds of excess federal gross income, or (B) not less than two
274 hundred fifty thousand dollars;

275 (2) "Excess federal gross income" means the amount of federal gross
276 income from all sources for the income or taxable year in excess of thirty
277 thousand dollars;

278 (3) "Agricultural production" has the same meaning as provided in
279 subdivision (63) of section 12-412;

280 (4) "Farm investment property" means machinery and equipment
281 that are acquired by purchase by an eligible farmer on or after January
282 1, 2026, and buildings and structural components of buildings that are
283 acquired, constructed, reconstructed or erected by an eligible farmer
284 and placed in service on or after January 1, 2026, and (A) are situated in
285 this state, (B) have a class life of more than four years, as described in
286 Section 168(e) of the Internal Revenue Code of 1986, or any subsequent

287 corresponding internal revenue code of the United States, as amended
 288 from time to time, (C) are acquired by an eligible farmer from a person
 289 other than a related person, (D) are not acquired to be leased, and are
 290 not leased, to another person or persons during the twelve full months
 291 following their acquisition or placement in service, and (E) will be held
 292 and used in this state by the eligible farmer in the ordinary course of
 293 agricultural production for not less than five full years following the
 294 date of acquisition of such machinery and equipment or the date of
 295 placement in service of such buildings;

296 (5) "Related person" means (A) a corporation, limited liability
 297 company, partnership, association or trust controlled by the taxpayer,
 298 (B) an individual, corporation, limited liability company, partnership,
 299 association or trust that is in control of the taxpayer, (C) a corporation,
 300 limited liability company, partnership, association or trust controlled by
 301 an individual, corporation, limited liability company, partnership,
 302 association or trust that is in control of the taxpayer, or (D) a member of
 303 the same controlled group as the taxpayer; and

304 (6) "Control" means (A) with respect to a corporation, ownership,
 305 directly or indirectly, of stock possessing fifty per cent or more of the
 306 total combined voting power of all classes of the stock of such
 307 corporation entitled to vote, or (B) with respect to a trust, ownership,
 308 directly or indirectly, of fifty per cent or more of the beneficial interest
 309 in the principal or income of such trust. The ownership (i) of stock in a
 310 corporation, (ii) of a capital or profits interest in a partnership or
 311 association, or (iii) of a beneficial interest in a trust shall be determined
 312 in accordance with the rules for constructive ownership of stock
 313 provided in Section 267(c) of the Internal Revenue Code of 1986, or any
 314 subsequent corresponding internal revenue code of the United States,
 315 as amended from time to time, other than paragraph (3) of said section.

316 Sec. 6. Section 12-217ww of the 2026 supplement to the general
 317 statutes is repealed. (*Effective from passage*)

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>from passage and applicable to income and taxable years commencing on or after January 1, 2026</i>	New section
Sec. 2	<i>from passage</i>	New section
Sec. 3	<i>July 1, 2026</i>	12-704d
Sec. 4	<i>October 1, 2026</i>	12-217j(a)(1)
Sec. 5	<i>from passage and applicable to income and taxable years commencing on or after January 1, 2026</i>	12-217vv(a)
Sec. 6	<i>from passage</i>	Repealer section

Statement of Purpose:

To (1) establish a tax credit for qualified operators that have entered into certain agreements, (2) establish a working group to examine the state's application of market-based sourcing to income from investment assets for financial institutions, (3) revise certain requirements for the angel investor tax credit, (4) update the definition of "research and experimental expenditures" in section 12-217j of the general statutes to account for changes made at the federal level, and (5) revise the definition of "eligible farmer" for purposes of the tax credit for farm investment property.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]